PART 02 · CHAPTER 07

Candlestick patterns in context

Use pattern names as shorthand for measured shapes, then examine the surrounding evidence.

Learner edition: attempt first; continuation reference starts on a new page where supplied. Worked solutions and quiz answers are omitted.

beginner About 6 min of prose · practice takes additional time AI editorial review 2026-10-12 · v0.4

▼ Review scope

Re-accepted for documented whitespace or shared study locator/date correction; earlier substantive review retained.

Recorded by /root. The review covers editorial evidence; it does not establish learning by human readers.

> THE IDEA TO KEEP
>
> A candle pattern is a geometric classification. Its meaning depends on context, recognition time, and evidence about subsequent outcomes.

By the end of this chapter

- Calculate the geometry before applying a candle name.
- Classify a valid shape and a numerical near miss.
- Explain why body engulfing and an outside range are different conditions.
- Use prior direction and later recognition separately from the shape itself.

Builds on: Anatomy of a stock chart · Trends, swings & changing structure · Support, resistance & price areas

A shape is a measurement before it is a name

Chapter 2 taught one candle's four prices. This chapter uses the same measurements to compare shapes. Body B = |close − open|; range R = high − low; upper shadow U = high − max(open, close); lower shadow D = min(open, close) − low. First compute them, then apply a

classification. A name is useful shorthand for those relationships; it is not additional transaction data.

Keep three questions separate. Does the geometry meet the selected definition? What prior movement or location makes that geometry interesting? What observation would confirm or challenge the interpretation later? You can correctly classify a candle, find its context unremarkable, and choose no action. The examples show a clean shape, a near miss, an apparent reversal, and a failure, so those judgments can be practiced rather than simply asserted.

Doji-like: the denominator makes the difference

A doji conventionally has nearly equal open and close. Our measurable teaching version uses B/R ≤0.10 when R>0. The first supplied candle has O50/H51/L49/C50.10. Body is $0.10, range is $2, so the ratio is 5%. It qualifies. Its endpoints are close together, while the interval still traveled across a $2 range. A small endpoint change is not the same as an inactive interval.

The near miss has O50/H50.15/L49.95/C50.10. Its body remains $0.10, but its range is only $0.20. B/R = 50%, so it fails our 10% criterion. The paired candles make that contrast visible: the same ten-cent body can be tiny or substantial relative to the full interval. No fixed dollar-body threshold was silently substituted.

The name alone is neutral. After a sustained rise, a small-body interval may prompt a question about changed progress; inside an already quiet range, it may add little. The prior path supplies that context. Calling it indecision is a conventional interpretation of similar endpoints, not direct evidence of participants' emotions.

Same body, different classification

Case	OHLC ($)	Body ($)	Range ($)	Body/range	Under B/R≤10%
Doji-like	50 / 51 / 49 / 50.10	0.1	2	5%	Qualifies
Near miss	50 / 50.15 / 49.95 / 50.10	0.1	0.2	50%	Does not qualify

Hammer-like: measure the tail and the context

Use O50/H51/L47/C50.80. Body is $0.80, upper shadow $0.20, lower shadow $3, range $4. Under this chapter's rule, a hammer-like shape needs a positive body, lower shadow at least twice that body, and upper shadow no greater than the body. Here 3/0.80 = 3.75 and

0.20≤0.80, so it qualifies. The exact thresholds are a teaching definition within conventional long-lower-shadow vocabulary.

The prior-trend panel adds two down candles: 54/55/52/53 and 53/54/49/50. Their closes fall 53 →50, then the measured candle closes 50.80. You can now see a preceding decline and an interval finishing well above its low. That motivates investigating a possible upward change. It does not establish the order of every transaction or the cause of the rebound. The same geometry after an advance has a different conventional contextual label, often hanging man.

The near miss changes only the low to 48.90: O50/H51/L48.90/C50.80. Body and upper shadow stay unchanged, but the lower shadow is 1.10, only 1.375 times the body, so it fails the stated tail criterion. It can still be an up candle. “Up candle” and “hammer-like shape under this definition” answer different questions.

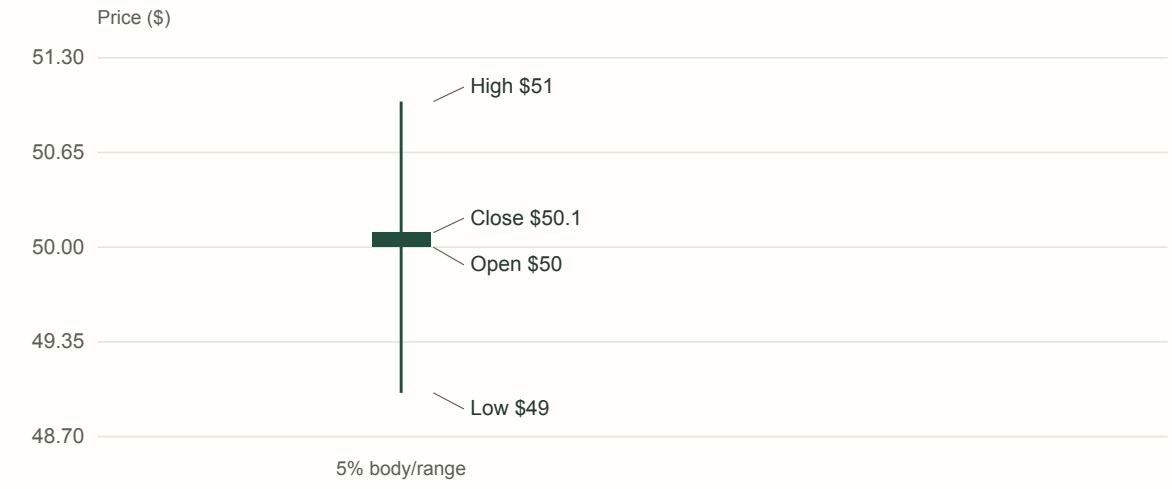
Compare the hammer-like candle with a near miss

Case	Body ($)	Upper shadow ($)	Lower shadow ($)	Lower/body	Classification
O50/H51/L47/C50.80	0.8	0.2	3	3.75	Qualifies
O50/H51/L48.90/C50.80	0.8	0.2	1.1	1.375	Fails lower-tail threshold

FICTIONAL TEACHING ILLUSTRATION

Candle geometry: valid shapes and near misses

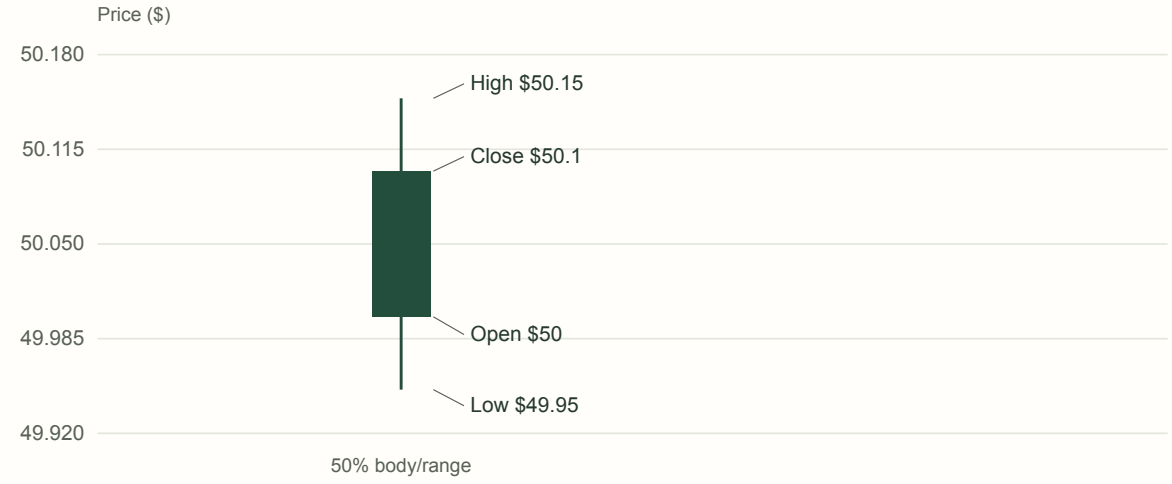
Doji-like: body 5% of range



Body: $0.10. Upper shadow: $0.90. Lower shadow: $1.00.

Completed interval

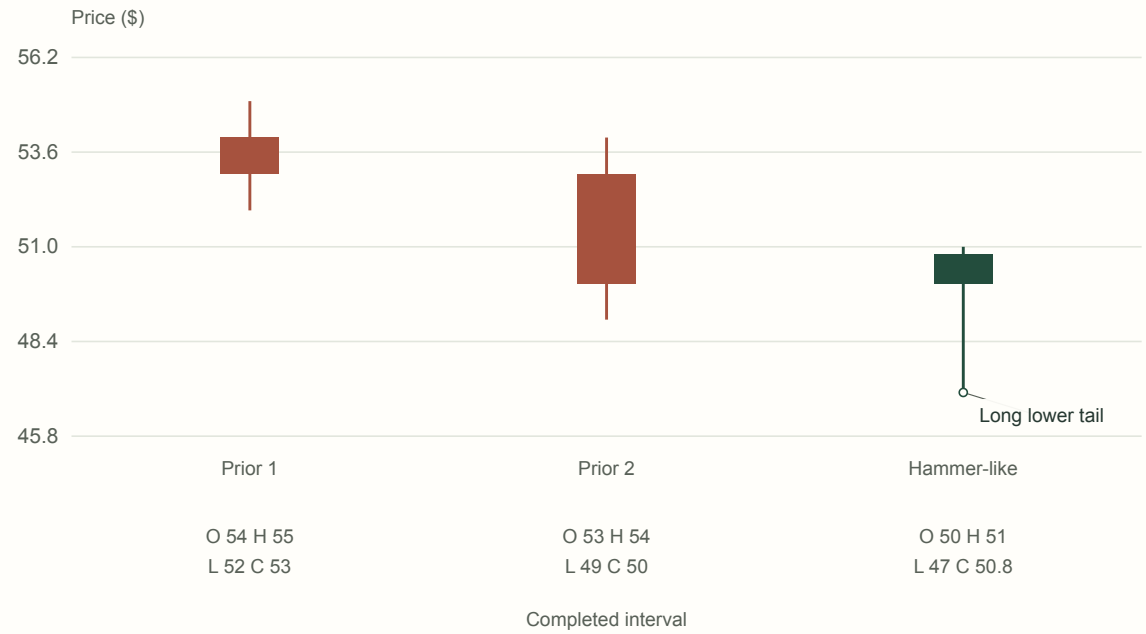
Near miss: same body, 50% of range



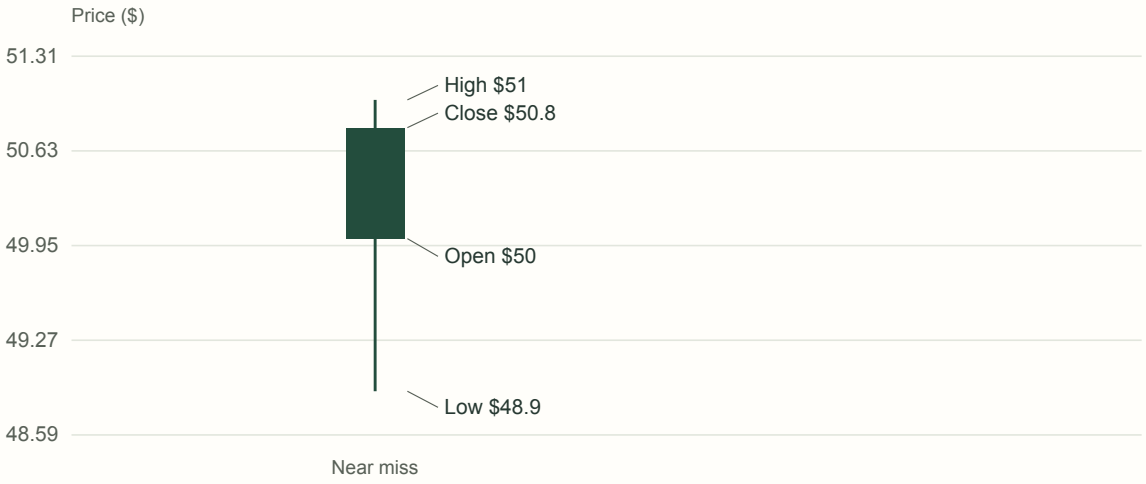
Body: $0.10. Upper shadow: $0.05. Lower shadow: $0.05.

Completed interval

Decline then hammer-like lower shadow



Near miss: lower shadow only 1.375 × body



Body: $0.80. Upper shadow: $0.20. Lower shadow: $1.10.

Completed interval

Every OHLC value is supplied in the chapter tables. Changing one input can change classification without changing the candle's color. The hammer context panel includes the prior declining closes.

▼ View the illustration's data

Doji-like: body 5% of range

Interval	Open	High	Low	Close
5% body/range	50	51	49	50.1

Near miss: same body, 50% of range

Interval	Open	High	Low	Close
50% body/range	50	50.15	49.95	50.1

Decline then hammer-like lower shadow

Interval	Open	High	Low	Close
Prior 1	54	55	52	53
Prior 2	53	54	49	50
Hammer-like	50	51	47	50.8

Near miss: lower shadow only 1.375 × body

Interval	Open	High	Low	Close
Near miss	50	51	48.9	50.8

Engulfing bodies are not outside ranges

The supplied first candle has O52/H53/L49/C50: a down body spanning 50–52. The second has O49.80/H52.50/L49.50/C52.20: an up body spanning 49.80–52.20. Under our strict version, first must close below its open, second above its open, second open must be below first close, and second close above first open. The pair satisfies all four conditions.

Its highs and lows tell a different story. Second high 52.50 is below first high 53; second low 49.50 is above first low 49. Its body engulfs, but its entire range sits inside the prior range. An outside-range rule would therefore reject it. The diagram lets you inspect both comparisons rather than infer full-range coverage from the word engulfing.

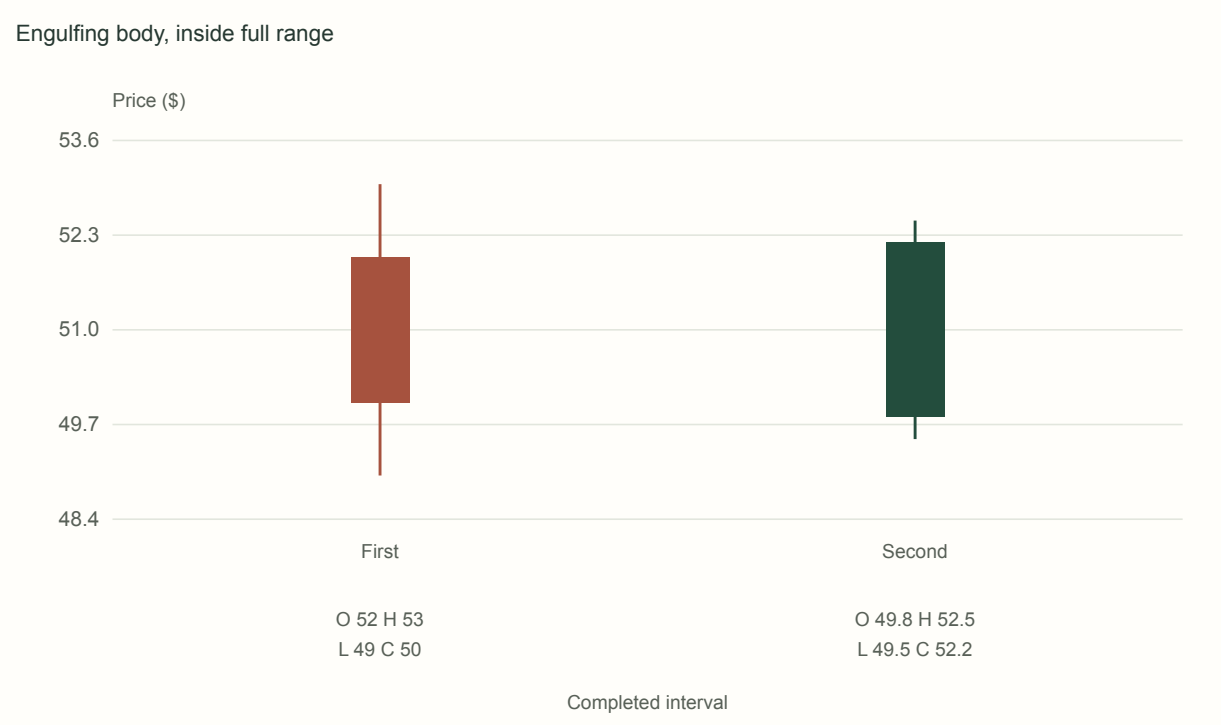
For the near miss, keep the second open/high/low but lower its close to 51.90. Its body covers 49.80–51.90 and stops ten cents short of the first body's 52 upper edge. The up body is large but fails this strict engulfing criterion. A platform allowing equal endpoints may classify a boundary case differently; our unequal values avoid that ambiguity.

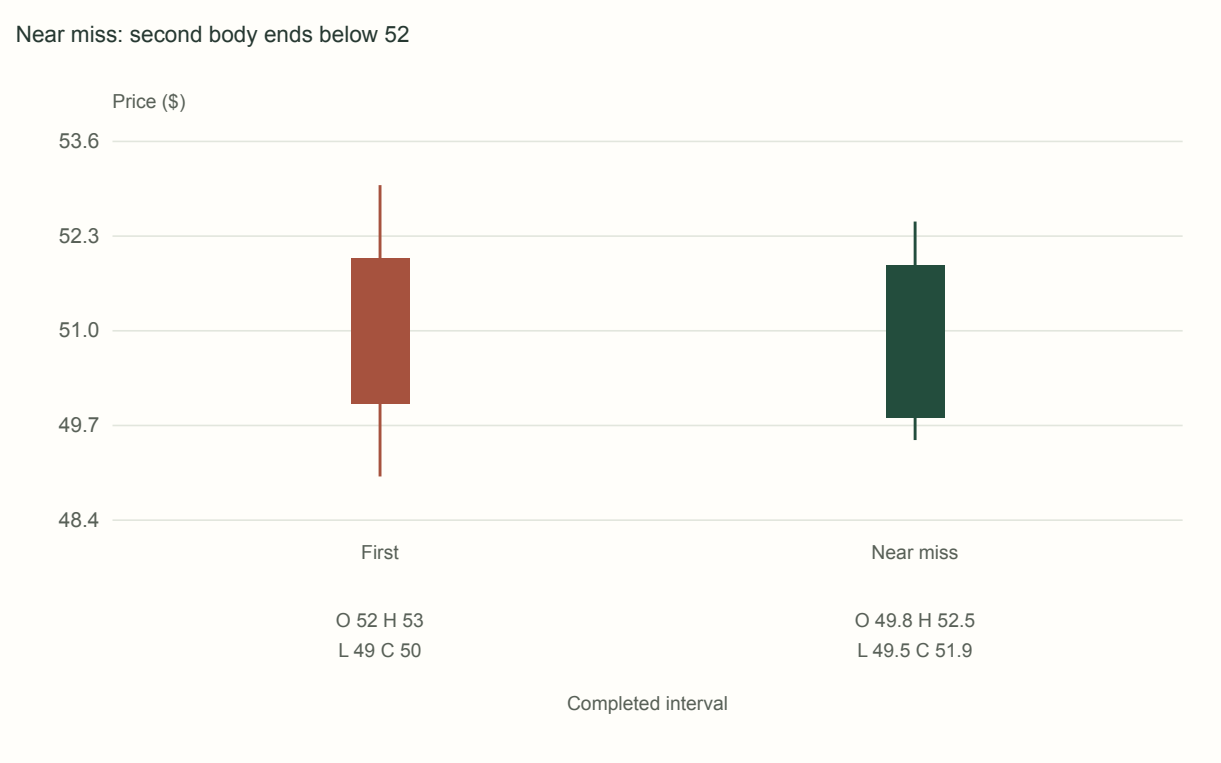
Four strict body comparisons and two range comparisons

Condition	Supplied values	Result
First down body	50 <52	True
Second up body	52.20 >49.80	True
Second open below first close	49.80 <50	True
Second close above first open	52.20 >52	True
Second high beyond first high	52.50 >53	False
Second low beyond first low	49.50 <49	False

FICTIONAL TEACHING ILLUSTRATION

Body engulfing versus full-range coverage





Left pair: the second body 49.80–52.20 engulfs 50–52 while the second full range 49.50–52.50 does not cover 49–53. Right pair changes only the second close to 51.90, creating a body near miss.

▼ View the illustration's data

Engulfing body, inside full range

Interval	Open	High	Low	Close
First	52	53	49	50
Second	49.8	52.5	49.5	52.2

Near miss: second body ends below 52

Interval	Open	High	Low	Close
First	52	53	49	50
Near miss	49.8	52.5	49.5	51.9

First pass: keep the D3 shape separate from its next close

The preceding sections teach the geometry. This guided packet rehearses that known calculation, then pauses the same fictional path after D3 closes. Only D1–D3 are available. No D4 opening, high, low or close is supplied yet; the later branches have been withheld.

For D3, calculate body $B = |C - O|$, range $R = H - L$, upper shadow $U = H - \max(O, C)$, and lower shadow $D = \min(O, C) - L$. The frozen hammer-like rule is $B > 0$, $D \geq 2B$ and $U \leq B$; it does not require an up body. Describe the preceding completed closes separately from the geometry.

For the distinct follow-up question, require the very next completed daily close to be strictly above D3's high. Equality does not qualify. Write a cutoff note with the geometry classification, the numerical follow-up threshold, its earliest observation time and the current follow-up state. Specify what a next close equal to the threshold would mean without inventing a next close.

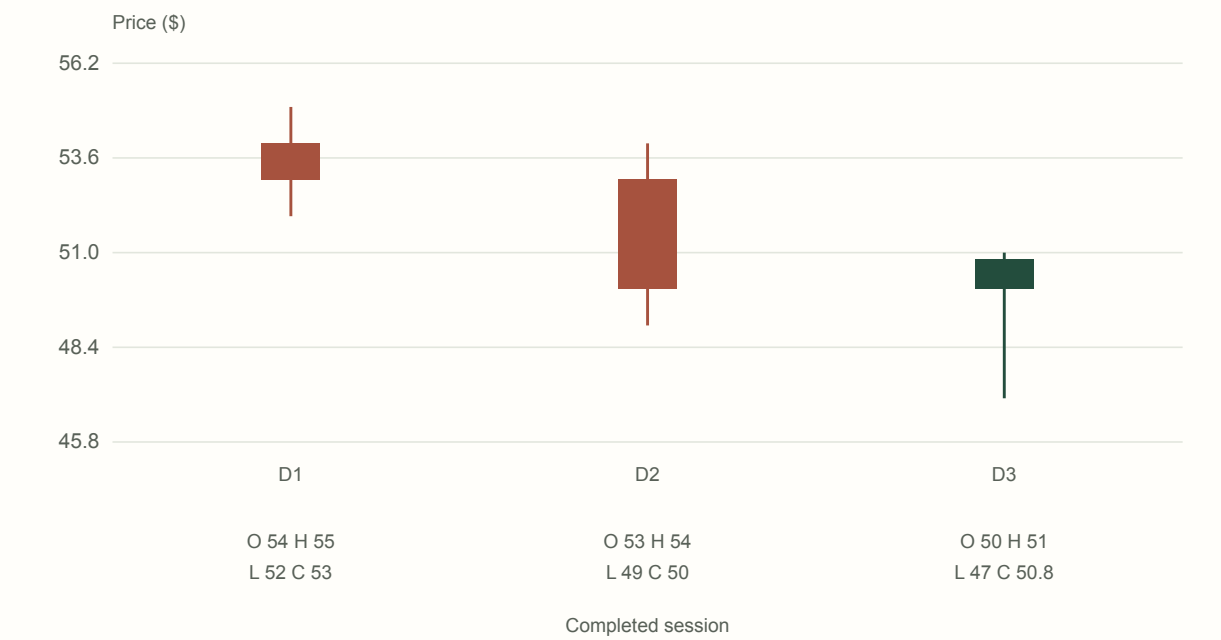
A shape and a later follow-up do not specify an entry order. State which execution information is still missing and why the D3 low cannot become a retrospective purchase price after observing D4. Retain this note before revealing either continuation. These constructed branches illustrate states; they are not a random sample or a test of prediction.

Completed daily candles available after D3 (fictional USD)

Session	Open ($)	High ($)	Low ($)	Close ($)
D1	54	55	52	53
D2	53	54	49	50
D3	50	51	47	50.8

FICTIONAL TEACHING ILLUSTRATION

The three completed candles at the D3 cutoff



Fictional regular-session OHLC. All three intervals have completed; no fourth interval or later branch is displayed. Neutral session labels do not supply the shape classification.

▼ View the illustration's data

The three completed candles at the D3 cutoff

Interval	Open	High	Low	Close
D1	54	55	52	53
D2	53	54	49	50
D3	50	51	47	50.8

Compare the continuation with your frozen note. This reference includes outcome headings, complete ledgers and solutions. In the learner print edition it starts on a new page after the cutoff packet.

A completed shape, a later confirmation, then a challenge

At the D3 cutoff, body $0.80, range $4, upper shadow $0.20 and lower shadow $3 satisfy B > 0, D ≥ 2B and U ≤ B. The prior closes 53→50 decline before the 50.80 close. The separate next-close threshold is D3 high $51, with strict equality excluded. D4's close is still unknown at D3, so the follow-up state is awaiting observation. No order, accessible quote or confirmed execution has been supplied. The next paragraphs reveal alternative paths from this same state; they do not revise the cutoff note.

Return to the $50/$51/$47/$50.80 hammer-like candle after a decline. Its geometry becomes final when that interval closes. For a separate reversal hypothesis, our example asks for the next completed daily close above its $51 high. A $51.20 next close meets that follow-up condition. It did not exist when the candle first opened, nor did it make a purchase at the earlier $47 low available retroactively.

If a later illustrative entry occurs at $52 with a planned trigger $46.80, distance is $5.20 per share. Entering at the candle's $50.80 close would have meant $4, but that earlier entry used less follow-up information. The later confirmation and earlier price cannot be combined into one supposed execution. Write both alternatives as distinct plans if you want to compare them.

Now append a next opening price $46.50 and close $45 to the confirmed path. The classification and follow-up event happened, then the continuation failed. In another branch, the very next session opens 46.50 without ever producing 51.20; that candidate never meets the follow-up condition. Candidate failure and failure after confirmation are different records. The timeline includes both, so a successful classification does not disappear whenever the trade idea disappoints.

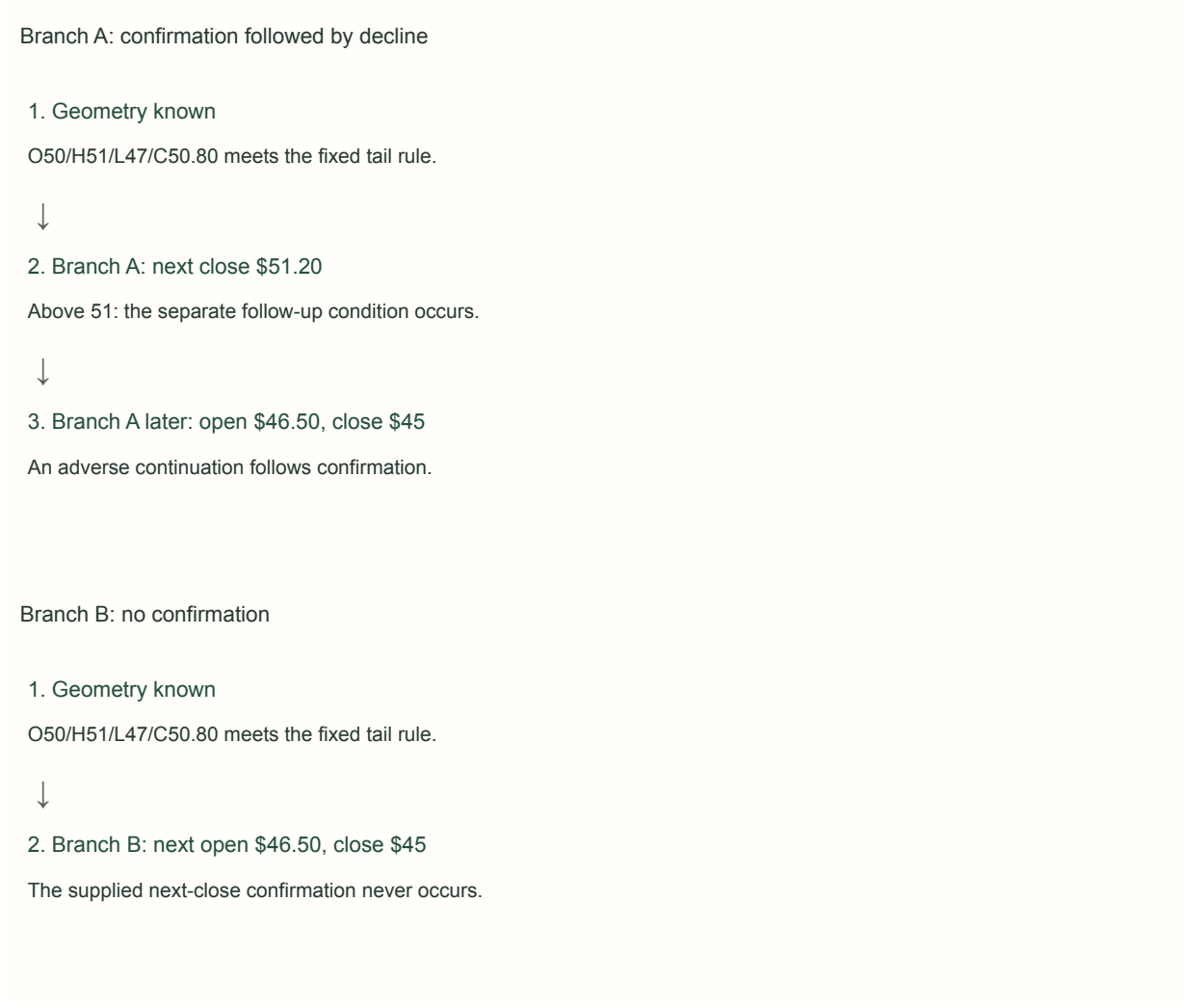
States of the interpretation, not renamed candles

Cutoff	Supplied observation	Known state
Pattern close	50.80	Hammer-like geometry complete
Next close in branch A	51.20 >51	Follow-up condition complete
Later branch A opening/close	46.50 /45	Adverse continuation after confirmation

Cutoff	Supplied observation	Known state
Next branch B opening/close	46.50 /45	No follow-up confirmation supplied

FICTIONAL TEACHING ILLUSTRATION

Do not collapse geometry, confirmation and outcome



Alternative fictional continuations share the same hammer-like candle. Read each branch from its own starting point; branch B does not follow branch A.

▼ View the illustration's data

Branch A: confirmation followed by decline

Step	Explanation
1. Geometry known	O50/H51/L47/C50.80 meets the fixed tail rule.

Step	Explanation
2. Branch A: next close $51.20	Above 51: the separate follow-up condition occurs.
3. Branch A later: open $46.50, close $45	An adverse continuation follows confirmation.

Branch B: no confirmation

Step	Explanation
1. Geometry known	O50/H51/L47/C50.80 meets the fixed tail rule.
2. Branch B: next open $46.50, close $45	The supplied next-close confirmation never occurs.

A short classification worksheet

For a new candle, work in this order: verify OHLC inequalities; compute B, R, U, D; compare only with the declared geometry thresholds; inspect the prior path; name the observation time of any later condition. The guided practice follows that worksheet. The independent practice changes a two-candle endpoint by a small amount so you must check coverage rather than choose the cautious-sounding option.

When you study the behavior of a pattern across many examples, preserve the criterion and the context filter. “Went up eventually” is not a useful outcome definition; “closed above the pattern high on the next completed session” is checkable. Larger questions about average return belong with their frequency, costs and comparison data. Here the specific learning goal is accurate measurement plus honest chronology, with near misses retained as carefully as attractive silhouettes.

A WORKED EXAMPLE

A correct shape can lead to two different records

The measured lower shadow is $3 and body $0.80, so the candle meets the 3.75 tail/body relationship. If the next close is 51.20 it meets the stated follow-up rule; if the next close is 45 it does not. A later 45 close after 51.20 is failure after confirmation, rather than a reason to pretend the shape was never present. Keep geometry, follow-up, execution and outcome in separate fields.

Pause & try it

Calculate the body and shadows for OHLC 50, 51, 47, and 50.80. Write exact inequalities for your hammer-like rule and a separate follow-up condition. Identify which observations are unavailable when the bar first opens.

GUIDED PRACTICE

Guided: identify the near-miss condition

For O50/H51/L48.90/C50.80, finish B, U, D and lower/body. Which condition fails relative to B>0, D≥2B, U≤B?

INDEPENDENT PRACTICE

Independent: distinguish two coverage rules

First candle O30/H32/L27/C28; second O27.80/H31/L27.50/C30.20. Does the pair meet the strict bullish body-engulfing rule? Is the second a full-range outside bar? Then change only its close to 29.90.

CHECK YOUR UNDERSTANDING

One question before you go

For O50/H51/L48.90/C50.80, which numerical classification is correct under the stated hammer-like rule?

A. Qualifies: lower/body is 3.75, as in the main example

B. Fails: upper shadow is $1, greater than the body

C. Fails: lower/body is 1.375, below the required 2

Sources & further reading

- StockCharts ChartSchool · Introduction to candlesticks ↗
  Doji and long-shadow pattern terminology, prior-trend context, and the inability of OHLC to reveal transaction sequence. Numerical thresholds here are original teaching conventions. Original access recorded 2026-10-01. Latest access check 2026-10-12: retrieved.
- Fidelity · Identifying chart patterns with technical analysis ↗
  Engulfing-body vocabulary, triangle categories, breakout filters, false breaks, and retracements. This book does not adopt the slides' performance claims. Original access recorded 2026-10-01. Latest access check 2026-10-12: retrieved.

Teaching examples are fictional unless labelled historical. Inspect this chapter's evidence. Sources support the specified concepts; they do not validate a profitable trading strategy.

Anatomy of a stock chart ↗ Trends, swings & changing structure ↗ Evidence before conviction ↗

Practice & review this part →